further than the Shroff Committee's recommendations to extend the bill market scheme to all licensed scheduled banks, and to reduce the minimum amount prescribed for individual advances from ₹25 lakhs to ₹10 lakhs and for individual bills from ₹1 lakh to ₹50,000. The minimum amount of individual advances was further lowered to ₹5 lakhs in February 1957. From November 1955, the bank and the newly constituted SBI began implementing the Shroff Committee's suggestion for more liberal remittance arrangements.[20]

In the sphere of industrial finance, the Shroff Committee had observed that existing financial institutions could go only a part of the way in meeting the requirements of industry. There was a need for new specialized institutions for increasing the flow of equity and debenture capital into the industrial sector. It noted that a major lacuna in the structure of the capital market was the absence of issue or underwriting houses. The Committee observed that the awareness in the country of the need for special agencies to finance industries was evident from the proposal to set up two corporations—one state owned and managed, and the other wholly under private ownership and management. The former which the Committee called the Industrial Development Corporation (for which no time frame had been set), first became a separate division of the RBI, and then went on to become the IDBI. The one under private ownership went on to become the ICICI. In his report, Shroff called it the Industrial Development and Finance Corporation and it is obvious that he was abreast of the activities in the US and in India which were leading to its founding and the interest taken by the World Bank in the matter. The Committee observed:

> 'This private corporation is expected to operate with utmost flexibility and undertake, amongst other things, direct lending and investment, underwriting of issues, and provision of technical and managerial aid to the private industrial sector…We welcome the establishment of this corporation and we hope that it will secure the full and generous support of all sections of the community and in particular of industrialists, banks and financiers both in the country and abroad.'[21]